



AMÃNA BANK PLC (PB 3618 PQ)

FINANCIAL STATEMENTS

31 MARCH 2017

STATEMENT OF PROFIT OR LOSS

FOR THE PERIOD ENDED 31 MARCH 2017

	RUPEES IN THOUSANDS			Change %
	FOR THE THREE MONTHS ENDED			
	31 MARCH			
	2017	2016	Change	
Financing Income	1,217,891	864,270	353,621	40.9
Financing Expenses	(655,433)	(455,712)	(199,721)	43.8
Net Financing Income	562,458	408,557	153,901	37.7
Net Fee and Commission Income	57,928	47,568	10,360	21.8
Net Gain/(Loss) from Trading	74,940	121,748	(46,808)	-38.4
Net Gain/(Loss) from Financial Instruments Designated at Fair Value Through Profit or Loss	-	-	-	0.0
Net Gain/(Loss) from Financial Investments	-	-	-	0.0
Net Other Operating Income	1,122	871	250	28.7
Total Operating Income	696,449	578,745	117,703	20.3
Impairment for Financing and Receivables to Other Customers and Other Losses				
Individual Impairment	(6,955)	(1,216)	(5,739)	471.8
Collective Impairment	(9,994)	(8,050)	(1,944)	24.2
Others	-	-	-	0.0
Net Operating Income	679,499	569,479	110,020	19.3
Personnel Expenses	276,115	262,620	13,494	5.1
Depreciation of Property, Plant and Equipment	37,280	41,278	(3,998)	-9.7
Amortisation of Intangible Assets	13,176	16,751	(3,575)	-21.3
Other Operating Expenses	178,365	161,706	16,659	10.3
Total Operating Expenses	504,936	482,356	22,580	4.7
Operating Profit Before Value Added Tax and Nation Building Tax on Financial Services	174,563	87,123	87,440	100.4
Value Added Tax and Nation Building Tax on Financial Services	(82,042)	(36,595)	(45,447)	124.2
Profit Before Tax	92,522	50,528	41,993	83.1
Tax (Expenses)/Reversal	(25,906)	(12,250)	(13,656)	111.5
Profit for the Period	66,616	38,278	28,337	74.0
Earnings Per Share - Basic / Diluted	0.05	0.03		74.0

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 31 MARCH 2017**

	RUPEES IN THOUSANDS			
	FOR THE THREE MONTHS ENDED			
	31 MARCH			
	2017	2016	Change	Change %
Profit for the Period	66,616	38,278	28,337	74.0
Other Comprehensive Income/(Loss)				
Other Comprehensive Income to be reclassified to Profit or Loss :				
Financial Investment - Available for Sale:				
Net Gain/(Loss) on Financial Investments - Available for sale	(30,046)	(30,095)	49	-0.2
Net Other Comprehensive Income to be reclassified to Profit or Loss	(30,046)	(30,095)		0.2
Other Comprehensive Income not to be reclassified to Profit or Loss :				
Re-measurement gain /(loss) on defined benefit plans	-	-	-	0.0
Deferred tax effect on defined benefit plans	-	-	-	0.0
Net Other Comprehensive Income not to be reclassified to Profit or Loss	-	-	-	0.0
Other Comprehensive Income/(Loss) for the Period Net of Tax	(30,046)	(30,095)	49	-0.2
Total Comprehensive Income for the Period Net of Tax	36,570	8,183	28,387	346.9

STATEMENT OF FINANCIAL POSITION

AS AT 31 MARCH 2017

	RUPEES IN THOUSANDS		Change %
	AS AT 31.03.2017	AS AT 31.12.2016 (AUDITED)	
Assets			
Cash and Cash Equivalents	7,040,115	5,686,924	23.8
Balances with Central Bank of Sri Lanka	3,440,705	2,816,770	22.2
Derivative Financial Assets	15,451	59,483	-74.0
Placements with Banks	3,883,344	4,662,466	-16.7
Placements with Licensed Finance Companies	18	21	-13.8
Financial Investments - Held for Trading	43,162	45,182	-4.5
Financial Assets Designated at Fair Value through Profit or Loss	-	-	0.0
Financing and Receivables to Banks	-	-	0.0
Financing and Receivables to Other Customers	40,034,357	38,451,662	4.1
Financial Investments - Available for Sale	365,296	394,775	-7.5
Financial Investments - Held to Maturity	-	-	0.0
Other Financial Assets	320,516	307,322	4.3
Other Non Financial Assets	279,365	227,059	23.0
Property, Plant and Equipment	1,227,103	1,247,591	-1.6
Intangible Assets	256,928	269,376	-4.6
Deferred Tax Assets	146,356	146,356	0.0
Total Assets	57,052,717	54,314,987	5.0
Liabilities			
Due to Banks	1,216,330	751,964	61.8
Derivative Financial Liabilities	107,610	98,341	9.4
Other Financial Liabilities - Held for Trading	-	-	0.0
Financial Liabilities Designated at Fair Value through Profit or Loss	-	-	0.0
Due to Other Customers	49,062,856	46,915,290	4.6
Other Financing	-	-	0.0
Securities Issued	-	-	0.0
Other Financial Liabilities	578,593	566,565	2.1
Other Non Financial Liabilities	176,295	112,175	57.2
Subordinated Term Financing	-	-	0.0
Retirement Benefit Liability	86,416	82,606	4.6
Total Liabilities	51,228,102	48,526,942	5.6
Shareholders' Funds			
Stated Capital	5,866,808	5,866,808	0.0
Statutory Reserve Fund	17,258	17,258	0.0
Revaluation Reserves	526,908	526,908	0.0
Other Reserves	(273,840)	(243,795)	12.3
Retained Earnings	(312,520)	(379,135)	-17.6
Total Equity	5,824,615	5,788,045	0.6
Total Liabilities and Shareholders' Funds	57,052,717	54,314,987	5.0
Net Asset Value per Ordinary Share	4.66	4.63	
Commitments and Contingencies	36,104,646	26,191,124	
Memorandum Information			
Number of Employees	714	718	
Number of Branches	28	28	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No.07 of 2007.

(Sgd)

M. Ali Wahid

Chief Financial Officer

04 May 2017

We, the undersigned, being the Chief Executive Officer, Chairman and Director of Amana Bank certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank unless indicated as audited.

(Sgd)

Mohamed Azmeer

Chief Executive Officer

04 May 2017

(Sgd)

Osman Kassim

Chairman

04 May 2017

(Sgd)

Jazri Magdon Ismail

Director

04 May 2017

STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31 MARCH 2017

	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	Other Reserve		RUPEES IN THOUSANDS	
				Revenue Reserve	Available for Sale Reserve	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
As at 1 January 2016	5,866,808	15,226	527,800	(216,926)	(44,599)	(425,313)	5,722,996
Profit for the three months ended 31.03.2016	-	-	-	-	-	38,278	38,278
Total Comprehensive Income for the three months ended 31.03.2016	-	-	-	-	(30,095)	-	(30,095)
As at 31 March 2016	5,866,808	15,226	527,800	(216,926)	(74,693)	(387,035)	5,731,180
Profit for the nine months ended 31.12.2016	-	-	-	-	-	2,362	2,362
Total Comprehensive Income for the nine months ended 31.12.2016	-	-	-	-	24,676	6,678	31,354
Transfers to Reserve	-	-	-	-	23,149	-	23,149
Transfers to Statutory Reserve Fund	-	2,032	-	-	-	(2,032)	-
Realisation of Revaluation Reserve	-	-	(891)	-	-	891	-
As at 31 December 2016 (Audited)	5,866,808	17,258	526,908	(216,926)	(26,868)	(379,135)	5,788,045
Profit for the three months ended 31.03.2017	-	-	-	-	-	66,616	66,616
Total Comprehensive Income for the three months ended 31.03.2017	-	-	-	-	(30,046)	-	(30,046)
As at 31 March 2017	5,866,808	17,258	526,908	(216,926)	(56,914)	(312,519)	5,824,615

STATEMENT OF CASHFLOW
FOR THE PERIOD ENDED 31 MARCH 2017

	RUPEES IN THOUSANDS	
	FOR THE PERIOD ENDED 31.03.2017	FOR THE PERIOD ENDED 31.03.2016
Cash Flow from Operating Activities		
Financing Income Received	1,149,584	846,154
Fees and Commission Received	60,707	2,446
Financing Expenses Paid	(601,379)	(423,573)
Foreign Exchange Income Received	77,704	129,011
Gratuity Payments Made	(3,251)	-
Payments to Employees and Suppliers	(522,107)	(444,940)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	161,258	109,099
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(1,536,667)	(1,650,493)
Other Financial Assets	28,058	(489,269)
Other Non Financial Assets	(52,307)	(67,325)
Statutory Deposit	(623,934)	(579,951)
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	2,092,378	3,540,315
Due to Banks	465,500	(1,564,400)
Other Liabilities	59,511	930,141
Net Cash Flow from Operating Activities before Income Tax	593,798	228,115
Income Tax Paid	-	-
Net Cash Flows From / (Used In) Operating Activities	593,798	228,115
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(16,792)	(19,524)
Proceeds from Sale of Property, Plant and Equipment	-	-
Acquisition of Intangible Assets	(728)	(14,525)
Investments in Placements with Licensed Finance Companies	3	(13)
Investments in Placements with Bank	777,099	(45,001)
Sale / (Acquisition) of Financial Investments - Available for Sale	(566)	26,809
Sale / (Acquisition) of Financial Assets Held for Trading	(744)	11,129
Dividend Received from Financial Assets	1,122	575
Net Cash Flows From / (Used In) Investing Activities	759,393	(40,551)
Cash Flows From / (Used In) Financing Activities		
Net Cash Flows From / (Used In) Financing Activities	-	-
Net Increase / (Decrease) in Cash and Cash Equivalents	1,353,190	187,565
Cash and Cash Equivalents at the Beginning of the Year	5,686,924	5,016,459
Cash and Cash Equivalents at the End of the Period	7,040,115	5,204,024

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

FINANCIAL ASSETS	HELD FOR TRADING	AMORTIZED COST	HELD TO MATURITY	RUPEES IN THOUSANDS	
				AVAILABLE FOR SALE	TOTAL AS AT 31.03.2017
Cash and Cash Equivalent	-	7,040,115	-	-	7,040,115
Balance with Central Bank of Sri Lanka	-	3,440,705	-	-	3,440,705
Derivative Financial Assets	15,451	-	-	-	15,451
Placements with Banks	-	3,883,344	-	-	3,883,344
Placements with Licensed Finance Companies	-	18	-	-	18
Financial Investments - Held for Trading	43,162	-	-	-	43,162
Financing and Receivables to Customers	-	40,034,357	-	-	40,034,357
Financial Investments - Available for Sale	-	-	-	365,296	365,296
Other Financial Assets	-	320,516	-	-	320,516
Total Financial Assets	58,613	54,719,055	-	365,296	55,142,964
Financial Liabilities					
Due to Banks	-	1,216,330	-	-	1,216,330
Derivative Financial Liabilities	107,610	-	-	-	107,610
Due to Other Customers	-	49,062,856	-	-	49,062,856
Other Financial Liabilities	-	578,593	-	-	578,593
Total Financial Liabilities	107,610	50,857,779	-	-	49,749,059

FINANCIAL ASSETS	HELD FOR TRADING	AMORTIZED COST	HELD TO MATURITY	RUPEES IN THOUSANDS	
				AVAILABLE FOR SALE	Total AS AT 31.12.2016 (AUDITED)
Cash and Cash Equivalent	-	5,686,924	-	-	5,686,924
Balance with Central Bank of Sri Lanka	-	2,816,770	-	-	2,816,770
Derivative Financial Assets	59,483	-	-	-	59,483
Placements with Banks	-	4,662,466	-	-	4,662,466
Placements with Licensed Finance Companies	-	21	-	-	21
Financial Investments - Held for Trading	45,182	-	-	-	45,182
Financing and Receivables to Customers	-	38,451,662	-	-	38,451,662
Financial Investments - Available for Sale	-	-	-	394,775	394,775
Other Financial Assets	-	307,322	-	-	307,322
Total Financial Assets	104,665	51,925,165	-	394,775	52,424,605
Financial Liabilities					
Due to Banks	-	751,964	-	-	751,964
Derivative Financial Liabilities	98,341	-	-	-	98,341
Due to Other Customers	-	46,915,290	-	-	46,915,290
Other Financial Liabilities	-	566,565	-	-	566,565
Total Financial Liabilities	98,341	48,233,818	-	-	48,332,160

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

	RUPEES IN THOUSANDS	
	31.03.2017	31.12.2016 (AUDITED)
Gross Financing and Receivables to Other Customers	40,331,846	38,732,202
Less: Individual Impairment	(92,879)	(85,923)
Less: Collective Impairment	(204,610)	(194,616)
Net Financing and Receivables	40,034,357	38,451,662

03. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	31.03.2017	31.12.2016 (AUDITED)
By Product - Domestic Currency		
Overdraft	2,715,684	2,170,215
Trade Finance	3,165,768	2,669,788
Lease Receivables	6,128,183	6,081,726
Staff Facilities	478,715	611,368
Term Financing	23,471,274	22,826,820
Gold Facilities	880,173	710,272
Others	563,503	741,569
Sub Total	37,403,300	35,811,758
By Product - Foreign Currency		
Term Financing	2,857,057	2,624,063
Trade Finance	61,062	39,043
Others	10,427	257,337
Sub Total	2,928,546	2,920,444
Total	40,331,846	38,732,202

NOTES TO THE FINANCIAL STATEMENTS

04. MOVEMENTS IN INDIVIDUAL AND COLLECTIVE IMPAIRMENT DURING THE PERIOD FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

	RUPEES IN THOUSANDS		
	Individual Impairment	Collective Impairment	Total Impairment
At 1 January 2016	47,190	166,786	213,976
Charge/(Write Back) for the year	40,156	27,830	67,986
Recoveries	-	-	-
Amounts written off	(1,422)	-	(1,422)
Profit accrued on Impaired Financing and Receivables	-	-	-
As at 31 December 2016 (Audited)	85,923	194,616	280,540
Charge/(Write Back) for the period	6,955	9,994	16,949
Recoveries	-	-	-
Amounts written off	-	-	-
Profit accrued on Impaired Financing and Receivables	-	-	-
As at 31 March 2017	92,879	204,610	297,489

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	31.03.2017	31.12.2016 (AUDITED)
By Product - Domestic Currency		
Demand Deposits	3,815,334	2,710,018
Savings Deposits	18,140,028	17,688,649
Time Deposits	20,943,490	21,109,031
Sub Total	42,898,852	41,507,698
By Product - Foreign Currency		
Demand Deposits	123,004	153,683
Savings Deposits	1,685,994	1,314,824
Time Deposits	4,355,006	3,939,085
Sub Total	6,164,004	5,407,592
Total	49,062,856	46,915,290

SELECTED PERFORMANCE INDICATORS

	AS AT 31.03.2017	AS AT 31.12.2016 (AUDITED)
Regulatory Capital Adequacy		
Core Capital (Tier 1 Capital), Rs. Mn.	5,288	5,288
Total Capital Base, Rs. Mn.	5,078	5,062
Core Capital Adequacy Ratio, as % of Risk Weighted Assets (Minimum Requirement, 5%)	10.3%	10.4%
Total Capital Adequacy Ratio, as % of Risk Weighted Assets (Minimum Requirement, 10%)	10.8%	10.8%
Assets Quality (Quality of Financing and Advance Portfolio)		
Gross Non-Performing Financing and Advances Ratio, % (Net of Profit in Suspense)	0.86%	0.89%
Net Non-Performing Financing and Advances Ratio, % (Net of Profit in Suspense and Provisions)	0.35%	0.38%
Profitability		
Financing Margin (%)	3.7%	3.6%
Return on Assets (before Tax)	0.6%	0.1%
Return on Equity	4.4%	0.7%
Regulatory Liquidity		
Statutory Liquid Assets, Rs. Mn.	11,438	10,771
Statutory Liquid Assets Ratio, % (Minimum Requirement, 20%)		
- Domestic Banking Unit	22.7%	22.6%
- Off-Shore Banking Unit	40.7%	26.9%

NOTES TO THE FINANCIAL STATEMENTS

7 SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE PERIOD ENDED 31 MARCH 2017	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL
Income						
Financing Income	344,092	856,130	1,200,222	11,270	6,399	1,217,891
Net Fee and Commission Income	27,303	26,880	54,183	-	3,745	57,928
Net Trading Gain	-	-	-	74,940	-	74,940
Net Other Operating Income/(Expense)	-	-	-	1,122	-	1,122
Total	371,395	883,010	1,254,405	87,332	10,144	1,351,882
Profit After Tax			51,750	28,546	(13,680)	66,616
Total Assets	11,032,343	29,002,015	40,034,357	13,138,773	3,879,587	57,052,717
Total Liabilities	44,928,810	4,134,046	49,062,856	761,994	1,403,251	51,228,102
FOR THE PERIOD ENDED 31 MARCH 2016	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL (AUDITED)
Income						
Financing Income	270,089	557,574	827,663	28,853	7,754	864,270
Net Fee and Commission Income	16,552	20,480	37,033	-	10,535	47,568
Net Trading Gain	-	-	-	121,748	-	121,748
Net Other Operating Income/(Expense)	-	-	-	871	-	871
Total Income	286,641	578,054	864,695	151,473	18,289	1,034,457
Profit/(Loss) After Tax			33,779	21,739	(17,239)	38,278
Total Assets	9,673,389	25,055,851	34,729,239	12,216,634	3,891,039	50,836,913
Total Liabilities	39,228,078	2,953,361	42,181,439	1,392,091	1,532,204	45,105,733

EXPLANATORY NOTES

- These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
- The interim condensed Financial Statements do not include all the information and disclosure required in the annual Financial Statements, and should be read in conjunction with annual Financial Statements as at 31 December 2016.
- The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's annual Financial Statements for the year ended 31 December 2016.
- There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements.
- Comparative figures have been restated wherever necessary to conform to the current periods presentation.
- There has not been a significant change in the nature of the contingent liabilities as disclosed in the Bank's annual Financial Statements for the year ended 31 December 2016.
- Market Price of Ordinary Shares (the Bank listed its ordinary shares on the Colombo Stock Exchange on 29 January 2014)**

	2017 Rs.	2016 Rs.
Market Price as at 31 March	3.50	5.40
Highest Market Price during the quarter ended 31 March	4.00	6.00
Lowest Market Price during the quarter ended 31 March	3.40	4.00

- Twenty Largest Shareholders as at 31 March 2017

No	Name of Shareholder	No. of Shares	%
1	Bank Islam Malaysia Berhad	180,562,011	14.44
2	AB Bank Limited	180,562,010	14.44
3	Akbar Brothers (Pvt) Ltd	124,849,499	9.98
4	Islamic Development Bank	120,374,673	9.62
5	Expolanka Holdings PLC	90,281,006	7.22
6	Amana Holdings Limited	75,750,755	6.06
7	Millenium Capital Investment Pte. Limited	70,140,503	5.61
8	Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	2.99
9	Trans Asia Trading Company	33,326,950	2.66
10	Mr. Sathiyamurthy Chandramohan	30,000,000	2.40
11	Al Bogari Islamic Gold DMCC	17,678,178	1.41
12	Mr. Ahamed Mihilar Mohamed Fazul Jiffry	14,284,200	1.14
13	Mr. Omar Mohamed Haji	12,057,022	0.96
14	ABC International Limited	11,920,000	0.95
15	Amana Takaful (Maldives) Pvt Ltd	9,340,821	0.75
16	Mrs. Nabila Qureshi	6,534,733	0.52
17	Pan Asia Banking Corporation PLC / Lanka Commodity Brokers Ltd	6,142,800	0.49
18	Mr. Muhammad Muslim Salahudeen	5,756,667	0.46
19	Mr. Abdul Majeed Mohamedu Risvi	5,433,690	0.43
20	Mr. Farook Kassim	5,232,644	0.42
Sub total		1,037,612,762	82.96
Other Shareholders (Number of Shareholders 6,835)		213,082,505	17.04
Total		1,250,695,267	100.00

Percentage of Public Holding as at 31 March 2017

31.33%

Number of Shareholders

6,829

- Directors' holding in shares as at 31 March 2017**

Name of Director	No. of Shares
Mr. Osman Kassim	438,520
Mr. Tyeab Akbarally	26
Dato' A Tajudin B.H Abdul Rahman	-
Dr. A. A. M Haroon	8
Mr. Mohamed Jazri Magdon Ismail	13,500
Mr. Haseeb Ullah Siddiqui	-
Mr. Wahid Ali Mohd Khalil	-
Mr. Harsha Amarasekera PC	-
Mr. Faheemul Huq	-
Mr. Rajiv Nandlal Dvivedi	-
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	-
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	1
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	-
Mr. Mohd Muazzam Mohamed (Alternate Director to Mr. Wahid Ali Mohd Khalil)	-
Mr. Mohamed Azmeer (Chief Executive Officer)	150,000